BACKGROUND REFERENCE

Context

Historical material retained for completeness; determine relevance from substance.

Historical Context

Background Reference 3 is retained as a dated historical record describing an earlier operating, legal, valuation, or financing context.

Its facts may explain chronology or terminology but require reconciliation to current source-of-record documents before use in a transaction conclusion.

The record identifies its original audience, preparation date, source materials, known limitations, and the later documents that replaced or supplemented it.

Contemporaneous summaries, attachments, and follow-up correspondence are indexed separately so the reviewer can distinguish original evidence from later interpretation.

1. What this summary is and who asked for it

This is a context summary prepared on 2023-02-14 by the company's finance function for the audit committee, to accompany an independent valuation report the committee had received. Its purpose was to help the committee read that report: it lists the questions the committee had raised, identifies where in the report each is addressed, and records the finance function's own observations on the report's limitations.

The summary is not a valuation and contains no conclusion of value. It does not restate the report's conclusion, its method weightings or any of its inputs, on the deliberate ground that a restatement in a second document creates a second version of the conclusion. A reader who needs the conclusion must take it from the report itself, in the copy the board resolution adopting it identifies.

It is retained in the data room because the audit committee minute for the relevant meeting refers to it, and because it records the questions the committee asked, which no other document does. It has no standing beyond that and it is superseded as to every substantive matter by the later valuation reports and the board records adopting them.

2. The committee's questions and where the report addressed them

The committee had asked four questions: what standard of value the report applied, how the valuation professional had treated the rights attaching to each class of equity, what the report assumed about the timing of a liquidity event, and how the professional had used the company's own forecast. The summary identifies the section of the report addressing each and notes, for two of the four, that the report's answer was shorter than the committee had expected.

On the treatment of class rights the summary records that the report describes its approach in general terms and refers to an appendix for the detail, and that the finance function had reviewed the appendix and found it consistent with the charter as it then stood. The summary does not reproduce the appendix and does not restate the charter provisions it relied on.

On the use of the company's forecast the summary records that the professional adopted the forecast as management's without independent verification, that the report says so, and that the committee should read the conclusion with that in mind. The finance function noted that the forecast in question had been prepared before two customer decisions that were known by the date of the summary.

3. Source materials and the limitations recorded at the time

The summary was written from the valuation report, the engagement letter under which it was prepared, the management forecast supplied to the professional, the charter in force at the valuation date, and the audit

committee's own agenda papers. No customer contract and no equity instrument was examined by the preparer of the summary.

The preparer recorded three limitations. The summary is a reading aid and not an independent review of the report; the preparer is not a valuation professional and did not test any computation in the report; and the summary reflects the charter and the forecast as they stood at its date, both of which the preparer expected to change. All three limitations still apply.

The preparer noted one matter that the report itself did not address and that the committee had not asked about: whether the professional had been given the company's board materials for the period as well as its forecast. The engagement letter did not require it and the report does not say, and the preparer recorded the question as open rather than pursuing it.

The summary was reviewed by the chair of the audit committee before it was tabled, and the chair asked for one of the preparer's observations to be expressed more neutrally. The version in this data room is the tabled version; the earlier draft was not retained, which the preparer recorded at the time as a departure from the finance function's own retention practice.

The preparer also recorded that the summary should not be circulated outside the committee without the report it accompanies, because a reader with the summary alone would have the committee's questions and none of the answers. That instruction was not observed when the data room was assembled, which is why this note repeats it.

4. Later valuation material and the standing of this summary

Every valuation matter in this summary has been overtaken by the later independent valuation reports and by the board resolutions adopting them. The table below identifies the later material and what each replaces. Where this summary and a later document differ, the later document governs; where this summary describes a charter provision, the charter as amended governs.

The one thing this summary continues to record uniquely is the set of questions the audit committee raised in the period, which a reader tracing the development of the company's valuation governance may find useful. That is a historical interest and not a transaction one, and the summary should be set aside for any current purpose.

Table 4.1 - Later valuation and governance material

Document	Dated	Prepared or adopted by	What it replaces in this summary
Independent valuation report, subsequent period	2025-05-20	Independent valuation professional	All valuation content
Board resolution adopting the subsequent report	2025-06-11	Board of directors	The identification of the adopted report
Charter as most recently amended and restated	2026-07-28	Company and stockholders	Any description of class rights
Management forecast, current version	2026-06-02	Finance function	The forecast described in section 2
Audit committee valuation review procedures	2025-09-25	Audit committee	The reading-aid function of this summary

5. What a later reader should not take from this summary

This summary contains no conclusion of value, no method weighting and no input, and a reader who believes they have found one has misread a description of where something appears in the report for the thing itself. The report is the document that states those matters, in the copy the adopting resolution identifies, and this summary deliberately does not repeat any of them.

The summary should also not be read as the committee's view of the report. It records the questions the committee asked and the finance function's observations; whether the committee was satisfied appears in the minute of the meeting and nowhere else. The two documents are frequently read together and are frequently confused, which is why this section says so expressly.